

OPERATING MODEL							
(\$ in millions unless noted)							
		FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Beginning Customers (>\$100K ACV)		4,800	5,100	5,400	5,750	6,150	6,575
+ Net New Customers		300	300	350	400	425	450
Ending Customers (>\$100K ACV)		5,100	5,400	5,750	6,150	6,575	7,025
ACV per Customer (\$K)		\$559.8	\$576.6	\$602.5	\$647.7	\$686.6	\$720.9
ACV Growth (%)		5.1%	3.0%	4.5%	7.5%	6.0%	5.0%
Subscription Revenue		2,855	3,114	3,465	3,984	4,514	5,065
Professional Services Revenue		64	64	60	57	55	51
Total Revenue		2,919	3,177	3,525	4,040	4,569	5,116
Implied Revenue Growth Rate		11.8%	8.8%	10.9%	14.6%	13.1%	12.0% « FY2028 reflects delayed monetization of AI identity; inflection occurs FY2029 as deployment converts into revenue
Implied NRR (ACV this yr / ACV prior yr)		105.1%	103.0%	104.5%	107.5%	106.0%	105.0%
NRR cross-check vs. actual		106.0%					
Implied cRPO Growth (= sub rev growth)		11.7%	9.1%	11.3%	15.0%	13.3%	12.2%
cRPO cross-check vs. actual		11.8%					
OPERATING MODEL ASSUMPTIONS							
Net New Customers (>\$100K ACV)		300	300	350	400	425	450 « Held flat FY27 reflecting mid-market pressure from Microsoft bundling; accelerates FY28+ as enterprise mix and AI pipeline convert
ACV per Customer Growth (%)		5.1%	3.0%	4.5%	7.5%	6.0%	5.0% « ACV growth is driven by incremental non-human identities layered onto existing enterprise contracts, not new logo growth
Professional Services (% of Total Rev)		2.2%	2.0%	1.7%	1.4%	1.2%	1.0% « Declining to ~1% by FY31; pro svcs shifting to GSI partners

Okta, Inc. (OKTA) — Discounted Cash Flow Analysis				
	Scenario	Current Price	Implied Price	Upside/Downside
	Bear	\$62.93	\$50.80	(19.3%)
	Base	\$62.93	\$98.97	57.3%
	Bull	\$62.93	\$164.76	193.6%

KPIS

	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026A
Customers with annual contract value ("ACV") above \$100,000	1,950	3,100	3,930	4,485	4,800	5,100
Dollar-based net retention rate for the trailing 12 months ended	121.0%	124.0%	120.0%	111.0%	107.0%	106.0%
Current remaining performance obligations	842	1,351	1,684	1,952	2,248	2,513
Remaining performance obligations	1,797	2,694	3,007	3,385	4,215	4,827
Subscription Revenue	797	1,249	1,794	2,205	2,556	2,855
Professional services and other Revenue	38	51	64	58	54	64

HISTORICAL FINANCIALS						
(\$ in millions)						
	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026A
Revenue	835	1,300	1,858	2,263	2,610	2,919
YoY Growth	-	55.7%	42.9%	21.8%	15.3%	11.8%
Gross Profit	617	904	1,312	1,682	1,992	2,258
Gross Margin	73.9%	69.5%	70.6%	74.3%	76.3%	77.4%
Operating Income (GAAP)	(204)	(768)	(812)	(516)	(74)	149
Operating Margin	(24.4%)	(59.1%)	(43.7%)	(22.8%)	(2.8%)	5.1%
EBIT (non-GAAP)						766
Non-GAAP EBIT Margin						26.2%
EBITDA	(167)	(660)	(698)	(417)	24	245
EBITDA Margin	(20.0%)	(50.8%)	(37.6%)	(18.4%)	0.9%	8.4%
Net Income	(266)	(848)	(815)	(355)	28	235
Cash Flow from Operations	128	104	86	512	750	884
Capital Expenditures	17	17	21	23	20	21
Free Cash Flow	111	87	65	489	730	863
FCF Margin	13.3%	6.7%	3.5%	21.6%	28.0%	29.6%
FCF per Share	\$0.87	\$0.59	\$0.41	\$2.99	\$4.17	\$4.81

ASSUMPTIONS — BASE CASE						
(\$ in millions unless noted)						
	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue Growth		8.8%	10.9%	14.6%	13.1%	12.0% * Bottoms-up customer * ACV build, linked from row 21; FY2027 represents trough year as GSI transition and prior headwinds lap
Gross Margin		76.5%	77.0%	77.0%	77.5%	78.0% * Sub GM 79%; blended lower from pro svcs; lifts as mix shifts to GSIs
EBIT Margin (non-GAAP)		25.0%	25.5%	26.0%	27.0%	28.5% * FY27 guided 25-26%; FY31 above mgmt LT target of 23-24%
D&A (% of Revenue)		3.5%	3.5%	3.5%	3.5%	3.5%
Capex (% of Revenue)		2.0%	2.0%	2.0%	2.0%	2.0%
Change in WC (% of Revenue)		(1.0%)	(1.0%)	(1.0%)	(1.0%)	(1.0%)
Tax Rate (non-GAAP)		21.0%	21.0%	21.0%	21.0%	21.0% * Confirmed 21% for FY27, reduced from 26% — tailwind vs. old consensus
FCF Margin (implied)		20.3%	20.6%	21.0%	21.8%	23.0% * Above EBIT margin due to ~\$600M SBC add-back + favorable WC
WACC		10.0%				* Beta 1.2, Rf 4.3%, ERP 5.5%
Terminal Growth Rate		4.0%				* Above LR nominal GDP; secular identity tailwind, NRR ~106%
Shares Outstanding (M)		185				* Per FY27 guidance, 3/4/26
Net Cash (\$M)		\$2,400				* \$2.5B cash less convert settlement; adds ~\$13/share
~\$3B+ NOLs shield cash taxes below 21% — conservatism in base case						

PROJECTED INCOME STATEMENT & UNLEVERED FREE CASH FLOW						
(\$ in millions)						
	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue	2,919	3,177	3,525	4,040	4,569	5,116
YoY Growth	—	8.8%	10.9%	14.6%	13.1%	12.0%
Gross Profit	2,258	2,431	2,714	3,111	3,541	3,990
Gross Margin	—	76.5%	77.0%	77.0%	77.5%	78.0%
EBIT (non-GAAP)	766	794	899	1,050	1,234	1,458
EBIT Margin	—	25.0%	25.5%	26.0%	27.0%	28.5%
D&A	96	111	123	141	160	179
EBITDA	862	905	1,022	1,192	1,394	1,637
EBITDA Margin	29.5%	28.5%	29.0%	29.5%	30.5%	32.0%
Unlevered Free Cash Flow Build						
EBIT (non-GAAP)	766	794	899	1,050	1,234	1,458
Less: Taxes @ non-GAAP rate	—	(167)	(189)	(221)	(259)	(306)
NOPAT	766	627	710	830	975	1,152
Plus: D&A	96	111	123	141	160	179
Less: Capex	—	(64)	(70)	(81)	(91)	(102)
Less: Change in Working Capital	—	(32)	(35)	(40)	(46)	(51)
Unlevered Free Cash Flow	862	643	728	850	997	1,177
UFCF Margin	29.5%	20.3%	20.6%	21.0%	21.8%	23.0%

DCF VALUATION						
(\$ in millions)						
	Year 1	Year 2	Year 3	Year 4	Year 5	Terminal
Unlevered Free Cash Flow	643	728	850	997	1,177	
Terminal Value						20,408
Total Cash Flow	643	728	850	997	1,177	20,408
Discount Factor	0.909x	0.826x	0.751x	0.683x	0.621x	0.621x
Present Value of Cash Flows	585	601	639	681	731	12,672
Sum of PV of FCFs	3,237					
PV of Terminal Value	12,672					
Enterprise Value	15,909					
Plus: Net Cash	2,400					
Equity Value	18,309					
Diluted Shares Outstanding (M)	185					
Implied Share Price	\$98.97					
Current Share Price (as of 4/10/2026)	\$62.93					
Upside / (Downside)	57.3%					
TERMINAL VALUE TRANSPARENCY						
PV of FCFs	3,237					
PV of Terminal Value	12,672					
Terminal Value as % of Enterprise Value	79.7%					* Terminal value concentration reflects durable identity infrastructure with high retention and recurring revenue, not dependent on speculative long duration growth

SENSITIVITY ANALYSIS

Table 1: Implied Share Price (\$) — WACC vs. Terminal Growth Rate

TGR ↓	WACC →	8.8%	9.5%	10.0%	10.5%	11.5%	
	2.5%	\$104	\$90	\$84	\$80	\$72	
	3.0%	\$111	\$95	\$89	\$83	\$75	
	3.5%	\$119	\$100	\$93	\$87	\$78	
	4.0%	\$129	\$107	\$99	\$92	\$81	
	4.5%	\$142	\$115	\$106	\$98	\$85	
	5.0%	\$158	\$125	\$113	\$104	\$89	
	5.5%	\$180	\$137	\$123	\$112	\$95	

■ Base case (WACC 10.0%, TGR 4.0%)

Table 2: Implied Share Price (\$) — Year 5 EBIT Margin vs. Revenue CAGR

Rev CAGR ↓	EBIT Margin →	24.0%	26.0%	28.0%	30.0%	32.0%	
	9.0%	\$79	\$84	\$89	\$95	\$100	
	10.0%	\$82	\$87	\$93	\$98	\$104	
	11.0%	\$84	\$90	\$96	\$102	\$108	
	12.0%	\$87	\$93	\$100	\$106	\$112	
	13.0%	\$91	\$97	\$103	\$109	\$116	
	14.0%	\$94	\$100	\$107	\$113	\$120	
	15.0%	\$97	\$104	\$111	\$117	\$124	

■ Base case (EBIT 28%, CAGR 12%)

SCENARIO ANALYSIS

	Bear	Base	Bull	
Revenue Growth Yr1	6.0%	8.8%	12.0%	« Bear: Entra wins mid-market via E5 bundling; GSI impairs sales motion permanently
Revenue Growth Yr3	7.0%	14.6%	18.0%	
Revenue Growth Yr5	7.0%	12.0%	15.0%	
EBIT Margin Yr5	20.0%	28.5%	33.0%	« Bull: AI unit economics — near-zero marginal cost; auth revenue falls to OpInc
Implied UFCF Margin Yr5	16.3%	23.0%	26.6%	
WACC	11.0%	10.0%	8.5%	« Bear 11%: risk-off, not distressed (\$2.4B cash, no debt, \$863M FCF) « Bear 3%: utility growth, above inflation Bull 4.5%: AI sustains above-GDP growth
Terminal Growth	3.0%	4.0%	4.5%	

Projected Revenue			
Year 1	3,094	3,177	3,269
Year 2	3,295	3,525	3,760
Year 3	3,526	4,040	4,436
Year 4	3,773	4,569	5,168
Year 5	4,037	5,116	5,944
UFCF Margin (ramped)	16.3%	23.0%	26.6%
PV of Year 1–5 UFCF	1,971	3,237	4,342
PV of Terminal Value	5,028	12,672	27,438
Enterprise Value	6,999	15,909	31,780
Plus: Net Cash	2,400	2,400	2,400
Equity Value	9,399	18,309	34,180
Implied Share Price	\$50.80	\$98.97	\$184.76
Current Price	\$62.93	\$62.93	\$62.93
Upside / (Downside)	(19.3%)	57.3%	193.6%

IMPLIED TRADING MULTIPLES AT EACH SCENARIO PRICE

	Bear	Current	Base	Bull
Scenario Price	\$50.80	\$62.93	\$98.97	\$184.76
Implied Market Cap	9,399	11,642	18,309	34,180
Implied EV	6,999	9,242	15,909	31,780
EV / FY2027E Revenue	2.2x	2.9x	5.0x	10.0x
EV / FY2027E UFCF	10.9x	14.4x	24.7x	49.4x
EV / FY2027E UFCF — CRWD (current)	103.9x	103.9x	103.9x	103.9x
EV / FY2027E UFCF — PANW (current)	52.0x	52.0x	52.0x	52.0x
EV / FY2027E EBITDA	7.7x	10.2x	17.6x	35.1x

PEER MULTIPLES

Peers	NTM EV/Revenue
CrowdStrike (CRWD)	20.0x
Zscaler (ZS)	9.0x
Palo Alto Networks (PANW)	13.0x
Peer Median	13.0x
Okta at Base Case	5.0x
Okta Discount to Peer Median	(61.5%)

Base case implies Okta re-rates to ~6x NTM revenue — still a 50%+ discount to CRWD and 35% discount to peer median. Not asking for a premium. Asking for less of a discount.